OI25: What If Lower Volatility Is the Wrong Goal ft. Suhaimi Zainul-Abidin

Podcast: Top Traders Unplugged

AI Executive Summary

1. Core Thesis

Quantedge's investment philosophy rejects the conventional wisdom that risk management should focus on minimizing volatility at all costs to protect long-term returns. Instead, Suhaimi Abedin argues that sustainable high returns require intentionally accepting higher risk levels to harvest risk premiums across uncorrelated markets. To execute this, Quantedge has constructed a highly diversified systematic portfolio targeting approximately 25% annualized volatility and targets an AUM capacity of $30–$35 billion. Crucially, their success relies on retaining capital from a base of committed investors (including significant employee investment) willing to endure drawdowns for long-term compounding, supported by operational structures like locked share classes to prevent liquidity runs during market stress.

2. Key Arguments & Data

- **Volatility Targeting:** Quantedge intentionally targets ~25% portfolio volatility to balance optimizing returns against the risk of ruin (catastrophic loss). The founders believe that avoiding risk depresses long-term returns and essentially leaves value on the table.
- **Portfolio Size & Diversification:** The firm manages close to $8 billion in assets under management (AUM) with a strategy encompassing nearly 300 different markets, including:
    - ~40 equity indices.
    - Long/short single stocks (20+ equity markets).
    - ~50 commodities (energy, agriculture, grains).
    - Global macro factors and bond markets.
- **Return Performance:** Historical performance shows roughly 20% annualized returns with significant drawdowns (e.g., a ~82% return in 2010 and a 70% net return in 2019, followed by a 29% drawdown in March 2020).

- **Start-up Origins:** Founded in 2006 by two former university friends (one statistics professor, one actuary) starting with $3 million. They lost ~50% of the capital during the 2008 financial crisis but recovered quickly by 2009.
- **ILS Strategy (Insurance-Linked Securities):** The firm invests in catastrophe bonds and insurance-linked securities, which are illiquid and bespoke. These investments aim to capture negative skew risk premiums, potentially yielding up to ~20% on cash over the long term, despite being negatively tailed. ILS currently makes up slightly less than 10% of total risk due to its capital consumption and illiquidity requirements.
- **Operational Efficiency:** Despite the size of AUM, the team is small (130 employees split between Singapore and New York), with only 1/3 in research/trading. They use color-coded identification jackets for operational clarity.
- **Liquidity & Structure:** To prevent liquidity runs during drawdowns, Quantedge offers three types of share classes:
  - Fixed term (3-year or 5-year).
  - Semi-perpetual (withdraw up to 5% per quarter).
  - Perpetual (withdraw <5% per quarter; only available to early investors and employees). The majority of AUM is locked in semi-perpetual and perpetual classes.
- **Capacity Limits:** While currently at $8 billion, the firm has identified a capacity limit of roughly $30–$35 billion. They aim to expand further over the next decade rather than dilute returns for new liquidity.
- **Rebalancing Frequency:** The rebalancing frequency has been increased from 1x daily to 3x daily to react more dynamically to market changes, risk factors, and attractiveness scores.

3. Actionable Takeaways

- **Rethink Risk vs. Return Doctrines:** Investors should recognize that higher volatility is not inherently negative; it can be the mechanism for capturing a fair return on risk accepted by systematic strategies.
- **Prioritize Uncorrelated Diversification:** Build portfolios based on true uncorrelated assets (e.g., mixing commodities with equity and

ILS) rather than traditional market cap diversification, as positive correlation in equities alone can lead to concentrated tail risk.

- **Commitment & Liquidity Management:** If seeking high alpha from systematic or trend-following strategies, consider long-term investment commitments that mitigate liquidity runs. Locking up capital (or using locked share classes) protects the strategy during drawdowns which are statistically inevitable in volatility-targeted funds.
- **Understand "Run on the Fund" Risks:** Be aware of how liquidity needs from investors can force a manager to sell at loss; structuring investor terms to align with risk tolerance prevents panic selling at the exact time when the strategy is underperforming.
- **Evaluate ILS Exposure:** For investors interested in insurance-linked securities, understand that high long-term returns are associated with negative skew risks and potential capital outflows from these markets following major catastrophe events.

Full Transcript

And if we ask ourselves that question, then why should we intentionally depress or keep reducing risk and harm long-term returns when actually you can bear more risk? And that's essentially what's driven us to create a portfolio that accepts and targets a higher level of risk in order to get a higher level of return. Welcome to Top Traders Unplugged. In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond to understand how they think, how they prepare, and how they decide, and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence.

This is episode number 25, and I'm your host, Moritz Siebert. Today, I'm particularly excited to welcome Suheimi Senul Abedin, the CEO of Quantedge to our show. Quantedge is a very successful Singapore-based systematic trading firm with now close to 8 billion in assets under management. But despite their great returns and their success as a firm, they tend to keep a relatively low profile and rarely appear on podcasts or give interviews, which I think makes today's conversation all the more special. I first reached out to Suhaimi at the end of August when I was on vacation. And that is when I invited him first to the open interest series to which he agreed, which is great. And then just a couple of weeks ago, Niels was traveling to Singapore and he had the opportunity to meet Suhaimi and the Quantit team in person during a client event. When Niels returned, he was very excited, immediately gave me a call and said, Hey, Moritz, you know what's the best thing about them?

it is that they are really, really nice and friendly people that go on touch, very down to earth and just nice to talk to. So what a compliment. And with that as a short intro, Suhaimi, it is really great to welcome you to the podcast. Good afternoon to you in Singapore. Yes. Hello there, Moritz. Thank you for having me on this podcast. I'm really excited to be here, honestly. And I want to start off by congratulating you and the team for

running such a successful. uh podcast over over so many years and doing so many sessions that have been so well received by the industry. Well thank you the uh the congrats need to go out to Niels he's the originator of it but um we like to hear it and it's again it's just great to have you on. So I mean given that not everyone knows about Quantedge I mean I do because you've become very successful and also very large but I think we need to start at the beginning.

Like, you know, what is the origin of Quantage? How did it start? Where did it start? Why did it start? Who started it? And also tell us about your role in the firm. Yeah, that's that's an interesting and good question. What I would say is it's not something that we talk about often. And that's probably because the two founders like to stay low profile. So their names shall not be named. But there were two founders who started Quantage in 2006. They've known each other from I guess high school or secondary school as they call it in Singapore. So they go back a long, long way and they both sort of went to the US to study and one was a statistics professor when he left school. The other one was a re-insurance pricing actuary. And together they sort of devised this investment strategy. To first they invest their own money with the goal of compounding it as aggressively as they could. And it was in 2006 that they decided Look, we think we can go to the market with this. It seems like it's a strategy that should be able to attract some capital. And so they went out and met people, asked their friends, and managed to attract a grand total of about 3 million, which is, of course, tiny. I wouldn't advise anybody to start a fund with that kind of amount of money today. But one of the things that makes Quantish probably a little bit different from most other funds, is the fact that the two founders didn't come from a trading or financial investment sort of background themselves in a sense, right? Because they were fresh out of school, right? Their trading experience in a sense was quite limited. And that, I think, allowed them to sort of build the strategy from a first principles, from a bottom-up basis, and figure things out for themselves in terms of what they want to achieve and how they could use their own skill sets from a statistical perspective from a from an actuarial perspective to build a strategy that that works for them playing to their strengths. So that's I would say the origin story of Quantidge. We started in 2006 as I mentioned here in Singapore and started small in doing things the simple way. We grew to about 500 million. It took

a while. We grew to about 500 million in 2013. And it was during that time that the majority of today's senior management joined the firm 2012-2013. So I joined at the time and entered Quantidge as a professional as an investor, sorry, as initially a general counsel at the time when the fund was sort of growing into size at about half a billion dollars. And I eventually took on the role of CEO in 2018. But I must say it's never been a smooth or easy ride. So when we look back at the origin, 2006, 2007, yeah, we had a pretty good start. The founders had a pretty good start. And then 2008 came and knocked them back on their seats, right, in the sense that they gained above.

I don't know. I think the original investment gains in the first two years almost doubled the fund, essentially. And then 2008 hit and they lost almost half of it. So almost back to starting point after two and a half years. But it was the years following that, 2009, when the fund recovered to a new high fairly quickly. 2010 was a blockbuster year for the fund, highest return ever at about 82%. And that's when it really sort of grew its wings. And I came on as an investor around time. So I first started as an investor at known founders from school days, but I joined as an investor a little later, not as a day one investor. And it was only a couple of years later that they called me up and said, you know, why don't you join us? So that's how it started. Interesting that you mentioned the challenges. That is actually a topic I'd like to get into, have been a bit more detailed later on. But before we go there, Suhaimi.

I think it makes sense to categorize Quantech to the extent possible. Because in our pre-call, I remember you say, well, we're not a trend following fund. We don't really belong into the CTA bucket. What is your definition in your eyes? How would you describe Quantech? What do you do? There are many ways that we'll try to describe Quantech in many ways, I would say. How the industry sort of looks at us is global global macro systematic or systematic quantitative nowadays as they call it right in the sense that Well, we are completely systematic and we are quantitative in our approach We treat the global markets in the sense of you know having global exposure and we like to to invest sort of on a top-down market level basis So that all sorts of sort of describes us, but when when we try to talk about what we actually do, the kinds of strategies that we run typically

would be described as market risk premier with today in more recent times, sort of layered with long short factor-based market neutral strategies. But another way to look at it would be to say, well, we're kind of essentially trying to allocate capital as efficiently as possible. So it's a capital efficiency sort of vehicle.

You know, applying many sort of different concepts, disparity to a certain degree, and, you know, we're not sort of beholden or fixed to any particular concepts or styles of trading. We'll take them all on board and try and build it into a systematic strategy. But the core of it would be risk-premier and factor-based market neutral strategies. And a lot of them, if I understand correctly from our pre-call, you have quite a bunch of systems that you run in parallel. But for the benefit of everyone, what is a risk-premia? What is a risk factor in your definition? A risk-premia strategy is one which accepts risk, essentially, in exchange for an expected return. So we can think about it quite simply as what happens in an insurance contract. Every one of us, we buy insurance. You buy insurance, I do as well, to protect against risks that we don't want to bear. And to hive off that risk, we're willing to pay somebody to take it on. And typically that would be the insurance company, right? And the insurance company, with all the knowledge and information and data that they have, know what is the fair price for that risk. But instead of charging you the fair price for it, they would charge you a premium. And that exists obviously in the insurance market, but What we've noticed based on our analysis and study of the markets is actually that kind of risk transfer happens everywhere. In the equity markets, in the bond markets, commodity markets, there is always some kind of risk transfer. In fact, we think most markets exist for the purpose of risk transfer, and that risk transfer could be just by virtue of being the capital provider, taking on equity risk. But that kind of risk deserves a return. And the market adjusts itself to give participants the necessary return. So we're in all these markets trying to harvest this risk premium over time. Got it. You mentioned the insurance piece just now, and one of the things that makes you stand out is that you have an active footprint in the ILS, the Insurance Link Securities Market, which includes catastrophe bonds and other things like this, which is kind of unusual for a systematic trading firm, I think it's fair to say.

I think you alluded to it's because of the background of one of the founders as an actuary. I presume maybe I'm incorrect, but I was wondering this ILS space, which is not like ticking on the tape, click it away on an execution front-end. There's no liquid order book where you can just have bits and offers. Is that systematic too? Do you systematically trade insurance linked securities? Now, that's a good question. So the systematic nature of the ILS investments that we do would be confined to the way that we analyze the deals. So there's a systematic way for us to decide how we want to allocate our risk budget to insurance link securities. And we want to achieve the same kind of diversification that we do in our general markets portfolio or general finance portfolio. That means it's hugely, hugely diversified.

across geographies, across perils, meaning that we want to have exposure to hurricane risk and earthquake risk and wildfire risk and cybersecurity risk, satellite risk, all sorts of things. And we want to have great diversification. In that respect, it's systematic, but it is a market that is difficult to access. It is obviously not a public market. We can't sort of know the know sort of exchanges to trade them on, which means there is a an aspect of that business that is quite bespoke. We have to go to seedings and counterparties and negotiate deal by deal essentially. For my benefit as well and maybe for everybody else's, what is roughly, if there is such a number, roughly the yield on an ILS transaction? It varies from year to year, like any market. We'd analyze the expected returns from ILS on a year-to-year basis, it really depends on the amount of capital that's going to the markets, the risk averseness, whether or not there's been a catastrophe event that's maybe sometimes sucked money out of the markets the previous year. So a lot of factors sort of go into it. But we would expect in some years, and in fact over the long term, that you could get potentially 20% returns on cash, which is pretty healthy, pretty juicy.

I mean, there is an index out there, the Swiss Re Cat Bond Index or something like that, which is, I think it's before costs. Anyway, it has spectacular performance, but obviously also the occasional setback, like, you know, Hurricane Katrina comes in or there's this big wildfire in California or whatever it is at that point in time. And then it looks like this. It's obviously negatively skewed, negatively tailed, you know, like the being short the put option. uncovered and you get a hit. I presume that has

happened to you a couple of times as well. Of course, absolutely. And it doesn't look pretty when it happens, but that's the nature of risk premium. Over time, you get paid out, but you get paid out exactly because you're willing to bear that risk and from time to time take the hit. So a lot of the strategies within our portfolio have those kinds of characteristics. It's like investing in the equity markets from time to time. There is going to be a big correction.

The markets are paying you to take that risk. That is the nature of risk premium. But we want to be in that space. In fact, I think our ability to invest consistently through those kinds of ups and downs gives us a huge advantage. Because if you notice, particularly in the ILS space, whenever something bad materializes and all the risk takers take a hit because there's an insizable loss, you will see that capital drains out of the market the following year. But as a result of that, Actually, the premiums go up a lot. So we want to be there for when that happens. With the high expected yields then for the following year for you to harvest. And so this I guess is a good segue into how you construct your portfolio because you have these risk premiums that every once in a while provide a setback and disappoint. But that's the nature of the business. So I reckon it's important for you to have as many independent ones of these.

at the same time in your portfolio, so that if when you get that hit in the ILS space, your FX carry position or your whatever like long short equity book is doing well and vice versa. That is exactly the game we play. So we're trying to collect and put together as many independent uncorrelated bets as possible, right? And keep playing these bets again and again, because each of them would have an independent positive expected return. And if they're truly uncorrelated, then over time you're sort of trimming the tails as it were. Of course, that doesn't mean that they never correlate, even though they are naturally uncorrelated. Why would a decision or an outcome in terms of interest rates affect whether it's a wildfire, but from time to time, rare as it may be, it will be years when everything sort of goes down together.

Part of the art and science of managing a portfolio that takes on sort of high level of risk, big exposures across many diversified markets is to also be

cognizant of those tail events as unlikely as they may be. If I can ask that, how many different strategies without going into the details, but how many do you have in the portfolio at any given time? Well, we list down close to about 300 different markets that we're in at any point in time. That would be across equity markets, 40 plus equity indices. We've got about 20 equity markets that we trade on a long short single stock basis. We've got another set of 40 to 50 commodities that we trade. So when you think about that, it's hugely diversifying, especially the commodity space. So when people sort of look at equities and say, look, I've got a diversified book, But if they're referring to just one market, that's hardly diversification. In fact, even across markets, there's actually quite a lot of positive correlation between equity markets. But once you throw in commodities, what happens in the energy markets versus agriculture and grains, it's hugely different. So commodities is a huge diversifying asset class for us. I mean, I've never been to your office. Niels has.

When you trade all these different markets, ILS, commodities, equities, can we imagine you guys have different teams, like specialist teams? And here's like a group that just does long, short equity. And that's their thing. And here's the ILS group. And there's a commodity curve carry group. And there's FX, whatever, mean reversion. I'm not sure what it is that you're trading. But is it like this, like specialist type of groups that then? We do have specialist teams. It's not a huge team, I would say. 130 people in the firm today, spread across Singapore and New York, the headquarters in Singapore, so we've got 110 or so people here. And you could say across the firm, one third of the people that we have deal with research and trading, and another third doing risk management operations, and then the last third sort of doing technology, programming, investor relations work. So it's not a huge team doing the quant research and trading. And the way that we look at it, And this is probably something that people sort of find sometimes a bit surprising because they expect, wow, we've got so many different markets that you trade in. Have you got a US expert and the Japan expert and so on? But the way we look at it is we try to divide the teams quite simply based on the signal types. So we've got a team that deals specifically with enterprises, i.e. single stocks largely, anything to do with businesses and how we analyze them.

We've got a team that deals with rates and interest rate related products, and then we've got a macro team that deals with largely everything else, but it's the risk-premier trades that we do across equities, bonds, commodities, and currencies, largely called the macro team. Of course, we have a smaller specialist team that deals with ILS. Got it. Niels told me that. He saw that the people are wearing. color jackets for identification, which I thought was a fun fact. I'm not sure what the colors are, but operations has a different color jacket than trading and research. Yeah, we did that. I think it was beginning of this year when the fund crossed 100 employees and we started to figure, well, it's starting to get difficult to remember not just everybody's name, but which team they're in sometimes. And we thought, well, let's get everybody a jacket, put their name on it.

and color code everybody. So that was the genesis of that idea. But it's cool. It's a jacket everybody likes. So a lot of people wear it within the firm. I want to speak about volatility. Because you're not a shop that produces 8% to 12% volatility, which is kind of like the feel good area, the feel good zip code for a lot of the institutional allocator money. You run the fund. And I think more than 20% volatility, more like 25 or something like that. That's correct. Yes. And that is a conscious decision. And you do that on purpose. And I'd like you to explain why it is that you run the business in that way. It's completely a choice parameter, meaning we are targeting that level of risk intentionally. And the way that we think about it, I think it's fairly simple, actually, when you think about it from first principles, right? Of course, ideally, I think anybody in the world would like great return without any risk. If we can get that, then fantastic. But the reality is, if you don't take risks, you can't get a reward or you don't deserve a long-standing, sustainable sort of return. But when we construct a portfolio, there are many things that we can do because every time you add an instrument strategy that is non-correlated to whatever else is in the portfolio, you're essentially driving down our portfolio volatility. You're reducing risk.

So there is that option. Let's keep driving down risk by adding things into the portfolio. You might reduce your returns in terms of getting the blended average of all those returns. But I think quite simply you'd start asking yourself at some point, am I just leaving risk on the table? Could I be taking more risk and as a result, getting higher returns? So most investors out

there, if you ask most people in the markets, most individuals at the very least, You know, anyone investing in the S&P on that stack would accept some measure of risk for the returns that they provide, right? 10% drawdown from time to time, 15% drawdown. As long as you survive it, it's fine. Looking back, you know, it's not really hurt you, right? It's just volatility. And if we ask ourselves that question, then why should we intentionally depress or keep reducing risk and harm long-term returns when actually you can bear more risk?

And that's essentially what's driven us to create a portfolio that accepts and targets a higher level of risk in order to get a higher level of return. Now, of course, there's some limit to this, right? You can't keep increasing or ratcheting up risk and taking on more and more leverage in the process because the only way to get that kind of risk level or to hit that kind of risk level would be to take leverage in some of your positions. But you can't keep going higher and higher because volatility is only one measure of risk. It's not the most damaging measure of risk, and instead at very high levels of volatility and leverage, you would probably risk the chance of a catastrophic loss at some point. So there is a limit to it, and we think that 25% is probably the right balance, the optimal range or target of level of risk that we want to target in order to balance between optimizing returns, but also staying a healthy distance away from any chance of a catastrophic loss. The risk of ruin, yes. I couldn't agree more, which I guess in your case you have to watch correlations to an extent because that would be like a correlation event where all of your strategies have that positively correlated behavior all of a sudden.

at a higher level of volatility and risk that you deploy, that is potentially the thing that could hurt you. No, totally right. And I'll expand on that and say, look, we need to be extremely dynamic. When you run a portfolio that's levered, that targets a high level of risk, you need to be dynamic. You need to watch the markets. Now, we can immediately observe increase in volatility. You can immediately observe increase in correlations or changes in correlations. And all those should factor into your portfolio sizing decisions. But in addition to that, there are actually other factors that should be considered as well. For us especially, when we think about this idea of total risk, what's the total risk of the portfolio? We need to also think about

liquidity. So as market liquidity changes, it adds a dimension of risk to the positions you hold. We also need to think about margin requirements. If margin requirements change, that adds another dimension of risk to the portfolio.

So when we think about it, there's volatility, there's tail risk, there's correlations, margins, and liquidity. So many things to think about actually. What is the average margin to equity ratio that you guys run? Our average margin to equity ratio in normal market conditions would be around 30% to 40%. Yeah, that's what I expected. I'm not sure. Do the ILS pieces have to be margined or is that a funded business? It's completely funded. So we put money into a trust account and that sort of sucks up capital and keeps it there. Which is one of the reasons why the ILS piece of the business tends to remain relatively small. It takes up maybe about slightly less than 10% of total risk. We'd like to size it up further, but because it consumes a lot of cash and is fairly illiquid, we need to keep it relatively small.

When you look back, I mean you now have your 20 year anniversary as a firm when you look back at the different risk premium strategies and factors that you've Targeted and exploited is there one that is kind of like a standout factor where you say that that's like Top spot top dog. That's the one that made the most money known. Well, I must say it's it's been a great decade plus for equity. So obviously we've made a fair amount of money from equities over this period. But having said that, if you look back to some of our great years, this year being an example, most of our returns have come from market neutral strategies in the commodity space, directional commodities by themselves as a risk premium strategy has done very well for us in the energy space again. But if you rewind the clock to let's say 2019, 2019, another great year for us. We did a 70% net return year. And that year, most of the returns, more than half the returns came from bonds. So it really depends, right? It's because we've got quite a dynamic strategy and our allocations change depending on the strengths of the signals we get. The returns can really come from many different places. How has Quantedge evolved over the years? I mean, the founders created the impetus and the nucleus of these strategies, and maybe these strategies are still around and you haven't touched them. But it's always interesting to see, like you start with 3 million, you're now close to 8 billion, so clearly

something has changed. How has the strategy portfolio evolved or has it stayed pretty much the same?

not just evolved, I think it's transformed in many ways. I don't think that the original models, the original strategies would be able to manage 8 billion today. Now, having said that, obviously the foundations were built by the models designed by the founders, and the philosophy remains the same. But we've built on that over time, right? The models themselves have been rewritten, enhanced in many, many ways. The diversification of the portfolio has Has grown multiple times when we first started we were trading in something like 50 plus markets now we're close to 300 the nature of the Strategies that we run the addition of long-short strategies that's come in probably in the last five years the I think the sophistication in terms of our Collection of data or analysis of data and how we trade obviously has changed a lot as well in fact even the rebalancing frequency of the fund is something that we we enhanced earlier this year, just earlier this year. Instead of just rebalancing once a day, which we used to do, and we used to do that from time of inception, today we rebalanced three times a day. Because we figured, yeah, we've got the systems for it. Let's do it. It makes us a bit more reactive, taking the more relevant recent data. And I think that's done well for us.

That is, I presume the volatility controller volatility targeting risk about risk rebalancing mechanism that you know run three times a day. Correct. But rebalancing is not just in terms of sizing. We're not just looking at risk and sizing our positions based on that. I think there's also the attractiveness analysis that happens, which means that in addition to like it's changing the size of the oppositions, we can also allocate based on changing attractiveness every time we rebalance. give more weight or give more allocation to signals that have a better score or something like that. You mentioned maybe some of the challenges that come with managing an 8 billion firm. With the strategies that you run, I have no idea how liquid the ILS space is, but would you say there is at some point a capacity limit for a Quantech or a point where you would close the fund and say, this is how much we can do and if we wanted to get more money, we would probably dilute the returns because you would have to lower the volatility or stop trading certain markets. It's a question that's coming up more and more. We

used to get, and we still do, we get a lot of referrals from existing investors. And quite interestingly, one of our investors came up to me, came up to us recently and asked like, I really don't feel like introducing more friends into your fund because doesn't that just bring you closer closer to capacity, which means, you know, I can't make as much money through the fund. But, you know, we tell them we assure investors that we've got quite a long way to go. I mean, we're at 8 billion today. We think the fund capacity should be in a north of 30 billion, right, 30 to 35 billion. Obviously, it's difficult to estimate it's not.

It's not binary, it's not as if it falls off a cliff, but I think at 30 billion we'll start to face some issues in terms of our ability to deploy into the markets. Having said that, it is something that we're cognizant of. It seems like it's a long way away 30 billion, but that's just maybe 4X from where we are today. And 4X is something that we kind of achieve on average every 10 years, right? So it's not too far away. And what means is the conventional wisdom will tell you, we'll start to fix the problem now if you can. So we're starting to spend a lot of time and resource into trying to find solutions to really move the needle in terms of pushing the capacity further up. So in 10 years, maybe we will reach 30 billion and maybe by then we'll be able to tell people, look, we think we can do more. But the priority at Quantage is to continue delivering high returns. So we will not expand the fund and taking more money if we think it dilutes returns. Yeah, I like that message. Same here. But for you guys, it's only another give or take 20 billion to get to that level. And looking at your returns, you have about 20% annualized returns. So like you say, it is not... I mean, if that continues, it's always an if. It's never a guarantee.

Yeah. I mean, just a couple of years. It's not even going to be 10 years, then you would be at that point. It could be. And it will be a happy problem, I think, when we get there. Yes. Yes. I agree. I want to speak a little bit about the investor base because you mentioned you started with 3 million in 2006, found his money, family and friends, and then I presume the next set of investors were private investors as well. Maybe Heinrich Worth individuals, a family office here and there. You told me that you do have some institutional allocator money, you know, endowments, but by and large. Most of your investors are private investors or family offices and you're not

really, I thought you phrased that quite beautifully. You don't want to bend to the demands of institutional investors and have decided to run your business on your own terms and not on the terms of an institutional allocator. And I'd like you to expand on that a little bit, like what's the thinking behind this? You know, more it's...

I want to qualify that first by saying, look, I don't want to sound arrogant and say, we don't want money. No, and you don't at all. You don't at all. Yeah. So, you know, I think what's important here is we've designed a strategy with certain goals in mind. And I think it's really important to sort of just stay true to yourself and what you want to achieve. Right. We could do all sorts of things. There's, there's, you know, potentially set up a different fund with different liquidity terms, with different volatility targets. It's all possible. But. How about just focusing on just the one thing? I think that's essentially what we want to do. If we focus on this one fund, the one fund that we started with the goal of compounding capital, then it assures everyone that we're giving this every single ounce of our time and effort. And I think that will mean that we'll probably do better for it rather than running many, many different pots of money and different strategies. Now, what we mean by not wanting to sort of bend backwards is to say, like we've been running this fund for a long time. We think that the way that we run money is probably, you know, it's a good way to compound money over the long term, but it's not a free ride, right? It comes with volatility. It requires long term view as to investments you've got to ride through the storm. And what that means is, well, maybe it doesn't suit all investors, right? So until today, we still get offers, right? People come to us and say, look, love the strategy, love the team.

Can you run a strategy for us or can you run a pot? And that's a May for us that gives us some additional liquidity or lower volatility. And we just basically told them, well, we won't do that. We're really not interested in doing that. There is a trade-off for that because it means that we're not going to get as much capital. But when you think about it, we have investors who've been with us for literally 20 years. And these are the investors who I think we owe the most to. we need to be true to our promise to them, to focus and just run this one fund. And I think what we'll achieve for them and for ourselves, because we're investors in the fund ourselves, I

think, you know, it's greater than what we could have if we decided to dilute our attention to many different types of strategies and offerings. Now, in fact, I will say that there are many things that I'm proud of at Quantage. I mean, the fact that, of course, investment returns are decent. We're quite happy about that. There's a lot of work that's gone into that.

But the two other things that I'm very proud of, the first one is I think the culture that we have, the people, the team that we've built, the way that they're able to work together, come to work happy, motivated, and largely because most of them are managing their own money because we're all invested in this fund. And you can't achieve that if you have multiple products that you're offering. But the other thing that I'm pretty proud of is the fact that we've got a strategy that is difficult to operate. But the fact that we can operate it, I think is driven by us having the right investor base to support it. Because not all investors and many investors will not sit through the 10-20% drawdowns. I mean, the good years are great, but the tough years, that's when you really test your people and also your investors. And the fact that we have investors who can sit through this time and time again, and in fact add money to the fund after going through a drawdown, I think that's something to be proud of because not many funds can accumulate that because every single investor who comes into Qantas today makes a big decision by locking their money up for a period of minimally three years, but most of them stay on for a long time. That's interesting. I wanted to get into these share class lockups, which you have three and five years and you also have a perpetual share class, but you also just said your investors or the investors you have there, let's just say smart enough to sit through a drawdown.

and understand what it means to be invested with Quantedge. So if they have this understanding of your strategy, you wouldn't need a lockup because they would stay anyways. They would understand, hey, we're going through drawdown and a more painful time, and this is not the time to give up. We'll just keep going. But tell us a little bit more about the thinking behind the locked up share classes and also the perpetual one that you have. You'd like to think that Investors are largely irrational that they behave in a logical manner. But the reality is, you know, we're all subject to human emotions. We do things that maybe sometimes are not the best. So we do

our best to tell investors, you got to be ready for the drawdowns. Every single investor will see a big drawdown if they invest in Quantish, because it will happen. We just don't know when. And every investor will tell you, yeah, I'm fine with the volatility. I can take this. I'm prepared. But when it comes for the first time, When you get that 20-30% drawdown, everyone gets nervous. Everyone gets nervous. They need their hands held. And some investors will do the wrong thing. And that's what happened in the past. Most investors stay on, but there will be investors who pull money out. And in the earlier years, when we had a dozen investors, two dozen investors, a hundred investors, we knew everybody by name. We knew everybody sort of intimately.

We've now got close to 1,000 investors. It's quite different. So we want everyone to be aligned. We know that everyone says they can take the volatility and they will sit through it. But how about giving assurance to everyone in the fund that every single investor is required to sit through the volatility because they're locked up? So there's no second guessing. I don't need to worry whether or not one investor, potentially a big investor, may panic and pull money out. and cause us to have to trade unnecessarily. In this case, everyone signs up on the same terms, they're in the same boat, and has that necessary long-term view to actually make the most of the strategy. Yeah, give it the room and the time that it needs. Absolutely. And in fact, I would say...

Majority of our investors are actually in the perpetual share class, the semi-perpetual share class, and I should correct that it's not perpetual. You do want to get your money back at some point. So we've got the three-year and five-year share classes, which means you've got to come in and lock yourself up for three years, and at the end of it, you can get all your money back. But those share classes are actually only the minority of the AUM of the fund. The majority of our assets under management sits in our semi-perpetual and perpetual share classes. So we've got a semi-perpetual share class where investors invest and they can withdraw or redeem up to 5% of their shares every quarter. So it gives them some liquidity, but because it's calculated based on how many shares you've got every quarter, it never goes to zero. If you really want your money back out and some people do,

they convert their shares to the three year fixed term, wait that out and get all their money back.

But that means everybody's thinking about investing in Quantage really for the long term, because most of their money is in the semi-perpetual share class. And they think about it kind of like an endowment, like it's there in perpetuity. And every year, it can take some money out, a good amount of money out. And for the investors who do the best, I would say the investors who've made the most out of Quantage is really the guys who just leave it there for a long period of time. Let it grow 5x, sometimes 10x. and then start withdrawing. And then you get this incredibly high perpetual cash flow that you can draw on. And then aside from the semi-perpetual share class, there's the perpetual share class that is truly perpetual in the sense that you're in that share class, you can't transfer out. You can only redeem a small proportion less than 5% every quarter, which means that you never run out. And that was designed and offered only for existing employees as well as very early investors. And that forms today and will form in the future, basically the permanent capital base of the fund. Did you ever have these terms or did Quantage start with monthly liquidity and something simpler? Yeah, we had to start with monthly liquidity and we offered monthly liquidity up to 2018 and then we closed that share class. So today it's only the fixed terms and the perpetual and semi-petual share classes that are on offer. Yeah, I think we were slightly ahead of the curve. I believe if I'm not wrong, I have to jog my memory a little bit, but I think we launched our fixed term share classes just a month or two before Millennium started their five year sort of locked share class.

So we were ahead of the curve, and at the time when we launched it, I think everybody was sort of taking it back. You're running a hedge fund. It's supposed to be a liquid alternative. You're largely investing in liquid markets. Why lock people up? But I think the industry is sort of moving in that direction, especially for the larger funds where we say, look, we can afford to request a longer term commitment from investors, and more of them are doing that. And I think it makes sense. I mean, obviously clearly you have private credit, private equity, very, very different liquidity characteristics in terms. You're trading relatively liquid instruments, maybe with the exception of the ILS book, which isn't as liquid and then you can't

just withdraw as quickly. But when you think about it, a strategy such as yours or even trend following strategies such as the ones that we run, They may go through a stretch of three, four, five years that are difficult. That's just the nature of the beast. But it doesn't mean that the strategy in and by itself or the portfolio of strategies that you run is broken or not working. It's just statistically going through a difficult period of time. And understanding this and having the patience to go through at least three, four, five years or ideally even longer.

is very important to get you to the terminal point of actually realizing a high k-gar because even give up in the middle it tends to be at the most painful unpleasant point in time which is the drawdown and that destroys compounding now that is what you've mentioned the other thing that I believe is important but tends to be overlooked is when you think about why. Some, not all, but some funds go out of existence is because they lose capital too quickly. Of course, you have funds that blow up, right? That's just boom, flying too close to the sun and they blow up. Okay, that's done. But a fund may go through a 50% drawdown. That isn't a blow up.

I mean, if you're trading at 25% volatility, that's two standard deviations. It can very easily happen. And I think you've mentioned that it happened in 2008. It doesn't mean that Quantech's strategies are broken. But it prevents a run on the fund, which obviously is like you could tongue-in-cheek say, oh, that's great for Quantech. Clearly it is because it allows you to continue. But when you think about it, it is also great for the investor base because not every investor. is ready to withdraw and throw the towel at a 50% drawdown. There are many that would like to keep going or even top of their investment at that point in time because they understand how the strategy works. And if the fund goes out of business, it also hurts these investors that subscribe to your fund in the first place for the long run. That is absolutely right. In fact, that's how we think about it. That's how we thought about it, about this issue in 2017.

which led to the share classes in 2018. We think about why funds go out of business, why they close down. Actually, one of the main reasons is because there's a mismatch between the requirements of the strategy and the investor base, the ability of investors to hold through those tough periods of time.

And we wanted to basically eradicate the risk of a run on the fund. And I think we've effectively done that. So not many funds, I think, will be able to say that, but we've effectively managed to do that. And we, I must say, thank the investors because it's not easy for them to sort of jump onto this boat and tie themselves up for the long term. But it's helped that I think it was only possible largely because the employees were a big part of the fund and we all decided to lock ourselves up in the perpetual share class. We had a great big bunch of investors who had compounded their money as well from the early days and they decided to join us in the perpetual share class.

And with that perpetual share class, we're basically telling investors, we're going to take the lead. We're going to lead by example. We're going to show you what commitment means. And therefore, we can request similar or lesser commitment, but sometimes long-term commitment still from the investors. Yeah. I think it makes sense for everyone, really, when you think about it. Now, bringing this to a close, Jaime. We started touching and speaking a little bit about challenges which is always interesting and you mentioned 2008 the firm got started in 2006 if I remember correctly said 2008 was essentially a reset year back to back to zero back to the starting line right Looking back over the 20 years. I mean clearly great returns 20% something like that annualized and you know yes volatility as a byproduct of your investment process, but Have there been any, with the exception of 2008, any challenging periods for the firm, for the strategy, something that kind of like stands out where you go like, well, that was really a tough stretch? I would say no. I wasn't here in the firm either as an investor or as an employee in 2008. But of course, the founders were here. They sometimes relate to us what happened and what they felt. And it was obviously a stressful time, right? However...

When you compare what happened in 2008 with March of 2020, the COVID induced meltdown. Now that almost felt just as bad, but far more compressed. Like things were happening at pace every single day. It was bam, bam, bam, sometimes three consecutive days of quite large losses. So I would say March of 2020 was the far more stressful period in the sense that I think Well, obviously, it's the first time anybody's dealt with a pandemic of that scale. Things were happening outside of their control. People didn't know how bad it was going to be. And in many countries,

including Singapore, there were limitations as to us going to work and trying to solve the problems that we had to face, trying to deal with the markets and the demands of our counterparties at that time with a limited headcount in the office was tough. Right? So we lost our Well, we had our biggest monthly drawdown in that month, March of 2020, where we lost 29%. So that was, to me, actually the toughest time that we had. Obviously, we've changed quite a lot of things from there, enhanced our risk targeting parameters. I mentioned from previously doing standard fall targeting, we've now moved to total risk, which encapsulates many of the factors, which I mentioned just now, the fact that we rebalance more frequently, we've now ramped up into long short strategies. So we've learned quite a bit, I think from that episode. We've also negotiated better terms with our brokers to make sure they can't yank us around in times of crisis. So yeah, lots of lessons learned through that one. Well done. Excellent. So Amy, I'll thank you.

That's probably just a great point to bring it to an end. I mean, I really appreciate you sharing all these details about yourself and Quantage, the firm, the history with us today. And yeah, I thought it was, I think it was been super interesting and valuable, very insightful. Thank you so much. Thank you. I enjoyed the conversation as well. You made some great points. I mean, really echoing some of the ethos and thinking behind Quantage. Excellent. To our listeners, a final note, if you have any questions to Suhaimi, Quantedge, whatever, send us an email. We're always happy to respond. You can contact us at info at toptradersunplugged.com. Thanks very much for listening and until next time on Open Interest. Thanks for listening to Top Traders Unplugged.

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